

Member ID: _____

Time: _____

Rank: _____



Banking & Finance

(145)

STATE 2025

Multiple Choice: (30 @ 2 points each) _____ (60 points)

Financial Word Problems

Job 1: Compound Interest _____ (30 points)

Job 2: Banking Fees and Penalties _____ (12 points)

Deposit Slip: (15 @ 2 points each) _____ (30 points)

Bank Reconciliation: (24 @ 2 points each) _____ (48 points)

TOTAL POINTS _____ (180 points)

Test Time: 60 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Member must hand in this test booklet and all printouts if any. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

EXAM GUIDELINES:

You have been hired as a Financial Assistant and will be keeping the accounting records for Digital Solutions, located at 700 Morse Road, Suite 201, Columbus, Ohio 43214. Digital Solutions provides accounting and other financial services for clients. You will complete jobs for Digital Solutions' own accounting records, as well as for clients.

You will have 60 minutes to complete your work. The test is divided into two parts: concept knowledge and application knowledge.

Your name and/or school name should *not* appear on any work you submit for grading. Write your Member ID in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations to two decimals at the final step.
- Round all percentages to one decimal place.
- Use 360 days for interest calculations.

MULTIPLE CHOICE

Identify the letter of the choice that best completes the statement or answers the question.

1. A _____ is more than other regular payments and paid after a set time.
 - A. balloon payment
 - B. final payment
 - C. down payment
 - D. closing payment
2. Medicare is paid by the _____.
 - A. nonprofit business
 - B. employee
 - C. employer
 - D. employer and employee
3. If a company only offers one type of stock, the stock that they would offer is called _____.
 - A. proxy stock
 - B. executive stock
 - C. common stock
 - D. preferred stock
4. Profits that a public company distributes to its stockholders are called _____.
 - A. retained earnings
 - B. dividends
 - C. equity capital
 - D. common stock
5. Writing the words “For Deposit Only” on the back of a check before your name constitutes a _____.
 - A. joint endorsement
 - B. blank endorsement
 - C. restrictive endorsement
 - D. special endorsement
6. An automated teller machine may be used to _____.
 - A. purchase a cashier’s check
 - B. make a loan payment
 - C. reconcile an account
 - D. buy stock

7. Which of the following Acts gave us the minimum wage?
 - A. Social Security Act
 - B. Taft-Hartley Act
 - C. Fair Credit Reporting Act
 - D. Fair Labor Standards Act
8. Adding interest to the principal and paying interest on the new total is called paying _____.
 - A. compound interest
 - B. total interest
 - C. simple interest
 - D. semiannual interest
9. The form showing money withheld by an employer for income & Social Security taxes is _____.
 - A. Form 1040
 - B. Form W-2
 - C. Form W-4
 - D. Form 1040X
10. Calculate the *yearly* interest rate on a credit card that charges .0175 monthly interest rate.
 - A. 1.75%
 - B. 17.5%
 - C. 35%
 - D. 23%
11. Money on deposit, minus _____, can be loaned by banks to customers.
 - A. primary reserves
 - B. the reserve requirement
 - C. cash on hand
 - D. excess reserve
12. A municipal bond backed by the power of the issuing government unit is called a(n) _____.
 - A. general obligation bond
 - B. debenture
 - C. revenue bond
 - D. agency bond
13. The Electronic Fund Transfer (EFT) Act covers all the following transactions, *except* _____.
 - A. Automated Teller Machines (ATM)
 - B. direct deposit
 - C. Pay-by-Phone System
 - D. credit card purchases

14. In order to open a checking account, a person must supply all the following, *except* _____.
A. cash to deposit
B. health insurance card
C. government identification
D. your social security number
15. When writing a check, the _____ space is optional.
A. date line
B. pay to the order of line
C. memo line
D. signature line
16. When a bond sells for more than face value, it is called a _____.
A. convertible bond
B. discount
C. premium
D. revenue bond
17. The Check Clearing for the 21st Century Act (Check 21) is a federal law that allows _____.
A. checks to be processed by using an electronic image
B. Twenty-one (21) days before a check will be processed
C. \$21 as a cushion in your account
D. Your check to be processed within 21 transactions on your account
18. The person, business or organization receiving a check is referred to as the
A. drawee
B. payer
C. payee
D. drawer
19. An Automated Clearing House (ACH) transfer can be used for _____.
A. withdrawals
B. deposits
C. paying bills
D. all of the choices
20. A debit card has all the following characteristics, *except*
A. allow you to withdraw cash at an ATM
B. make purchases at stores
C. helps you establish credit/improve your credit score
D. safer than carrying cash around

21. How would you calculate the rate of return?
- A. total interest earned / original deposit
 - B. total interest + total interest earned
 - C. original deposit x total interest earned
 - D. total deposit/original interest
22. The difference between cash price and total price when installment payments are made is called _____.
- A. full disclosure
 - B. cost of credit
 - C. add-on interest
 - D. discount interest
23. A year is considered to be _____ days, when computing interest compounded daily, when you are following the banker's rule.
- A. 360
 - B. 365
 - C. 366
 - D. 345
24. Unless otherwise specified, checks expire after _____ days.
- A. 30 days
 - B. 180 days
 - C. 90 days
 - D. unlimited
25. The first delivery of an instrument by the maker for the purpose of giving rights on the instrument to any person is a(n) _____.
- A. instrument
 - B. endorsement
 - C. issue
 - D. negotiable
26. The following are all bank account services, *except* _____.
- A. debit and credit cards
 - B. printing currency
 - C. insurance
 - D. wealth management
27. All of the following are negotiable instruments, *except* _____.
- A. promissory notes
 - B. certificates of deposit
 - C. loan applications
 - D. bearer bonds

28. What is the cost of using credit cards?
- A. the credit card APR
 - B. no cost to use credit cards
 - C. prime interest rate
 - D. discount rate
29. When handling cash, the *best* procedure is to _____.
- A. allow the safe to be opened only by the manager
 - B. deposit cash without counting it
 - C. have at least two people verify the total cash
 - D. leave large sums of money in the cash lockbox
30. According to the Uniform Commercial Code (UCC), a check *will* be cashed for _____.
- A. the amount written out in numbers
 - B. the average of the amount in numbers and the amount in words
 - C. the amount the bank teller chooses
 - D. the amount written out in words

FINANCIAL WORD PROBLEMS:

Directions: Compute the answer to each of the finance problems below and place your answer in the space provided. Round each step to 2 decimal places.

1. Compound Interest (15 @ 2 points = 30 points)

Mitchell is going to deposit \$7,500 in a CD for five years. He will be earning 3% for five years compounded annually. Show Mitchell how much money he will have at the end of each year and total interest earned. Round to the nearest cent.

YEAR	Beginning Balance	Interest	Ending Balance
YEAR 1			
YEAR 2			
YEAR 3			
YEAR 4			
YEAR 5			

2. Banking Fees and Penalties (3 @ 4 points = 12 points)

Ray has had a \$10,000 CD for 3 years 6 months of a 4-year term. The penalty to withdraw early is 3 months of interest. The CD has a 1% annually compounded monthly. At the end of 3 years, he has \$10,035.42.

- a. What is the amount of the CD at 3 years, 6 months?

- b. What is the amount of the penalty for early withdrawal?

- c. What is the amount he will withdraw?

DEPOSIT SLIP (15 @ 2 points = 30 points)

Use the current date and complete the bank deposit slip for Clayton Smith, 2425 West 12th Street, Moore, OK 73333. His account number is 986532147. Clayton is depositing the following but would like \$100 back with the remainder being a deposit:

Currency

6 twenty dollar bills
 2 ten dollar bills
 8 five dollar bills
 21 one dollar bills
 24 quarters
 16 dimes
 5 nickels
 13 pennies

Checks

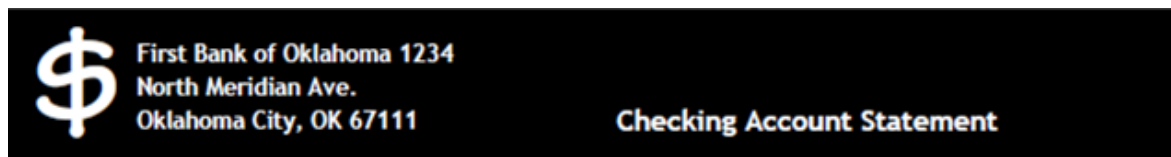
#12434	\$259.22
#2452	\$39.50
#8546	\$139.77
#4681	\$73.86

Deposit			
Date _____	CASH		
Name _____	CHECKS		
Account Number _____			
The Money Bank			
Cashton, NC 22222			
Signature _____	Subtotal		
	Less Cash		
	TOTAL		

BANK RECONCILIATION (24 @ 2 points = 48 points)

On October 6, 2023, John Jones received the bank statement below for September 2023. The balance in his checkbook was \$558.45. Prepare a bank reconciliation on the following page using the information listed below, which are the items *not* found on the bank statement:

- Payroll Deposit made on 9/30 for \$694.81.
- Cash deposit made on 9/30 for \$250.00.
- Check #409 was recorded in his checkbook as \$79.12.
- Check #411 issued on 9/30 for \$329.14.



John Jones
1643 Dundas Street Apt 27
Wichita, KS 67111

Statement Period 09/01/23-09/30/23
Account # 00005-123-456-7

Date	Description	Ref	Withdrawal	Deposits	Balance
1-Sep	Previous balance				0.55
3-Sep	Payroll Deposit - Cargill			694.81	695.36
6-Sep	Web Bill Payment - MASTERCARD	9685	200.00		495.36
7-Sep	ATM Withdrawal - Dillon's	3990	21.25		474.11
14-Sep	Fee - ATM Withdrawal		1.50		472.61
16-Sep	Best Buy Purchase - ELECTRONICS	1975	29.99		442.62
16-Sep	Web Bill Payment - Westar Energy	3314	284.53		158.09
20-Sep	ATM Withdrawal - First Bank	0064	100.00		58.09
21-Sep	Dillon's Purchase	1559	29.08		29.01
22-Sep	Best Buy Refund - ELECTRONICS	1975		29.99	59.00
23-Sep	Check #409		79.21		-20.21
24-Sep	Payroll Deposit - Cargill			694.81	674.60
27-Sep	Web Transfer - from Savings	2620		100.00	774.60
28-Sep	Pre-Auth Payment - INSURANCE		58.55		716.05
30-Sep	Check #410		62.87		653.18
30-Sep	Web Bill Payment - RENT		710.49		-57.31
30-Sep	Fees - Monthly		5.00		-62.31
30-Sep	Fees - Overdraft		5.00		-67.31
Totals			1,587.47	1,519.61	

RECONCILIATION OF BANK STATEMENT

First Bank of Oklahoma 1234 North Meridian Ave. Oklahoma City, OK 67111 Reconciliation of Bank Statement																																															
Bank Statement Reconciliation	Check Register Reconciliation																																														
A. Bank Statement Ending Balance B. Add Deposits in Transit Deposit in Transit Details: <table border="1" style="width: 100%; border-collapse: collapse; margin-top: 5px;"> <tr><td style="width: 60%; height: 25px;"></td><td style="width: 40%; height: 25px;"></td></tr> <tr><td style="height: 25px;"></td><td style="height: 25px;"></td></tr> <tr><td style="height: 25px;"></td><td style="height: 25px;"></td></tr> <tr><td style="height: 25px;"></td><td style="height: 25px;"></td></tr> </table> C. Subtract Outstanding Checks <table border="1" style="width: 100%; border-collapse: collapse; margin-top: 5px;"> <thead> <tr> <th style="width: 20%; font-size: small;">Date</th> <th style="width: 30%; font-size: small;">Check #</th> <th style="width: 50%; font-size: small;">Amount</th> </tr> </thead> <tbody> <tr><td style="height: 25px;"></td><td></td><td></td></tr> <tr><td style="height: 25px;"></td><td></td><td></td></tr> <tr><td style="height: 25px;"></td><td></td><td></td></tr> <tr><td style="height: 25px;"></td><td></td><td></td></tr> </tbody> </table> Balance After Adjustments (A+B-C)									Date	Check #	Amount													A. Check Register Ending Balance B. Add Bank Adjustments/Credits Adjustment Details: <table border="1" style="width: 100%; border-collapse: collapse; margin-top: 5px;"> <tr><td style="width: 60%; height: 25px;"></td><td style="width: 40%; height: 25px;"></td></tr> <tr><td style="height: 25px;"></td><td style="height: 25px;"></td></tr> <tr><td style="height: 25px;"></td><td style="height: 25px;"></td></tr> <tr><td style="height: 25px;"></td><td style="height: 25px;"></td></tr> </table> C. Subtract Bank Charges/ Returned Checks/ Adjustments <table border="1" style="width: 100%; border-collapse: collapse; margin-top: 5px;"> <thead> <tr> <th style="width: 20%; font-size: small;">Date</th> <th style="width: 30%; font-size: small;">Ref #</th> <th style="width: 50%; font-size: small;">Amount</th> </tr> </thead> <tbody> <tr><td style="height: 25px;"></td><td></td><td></td></tr> <tr><td style="height: 25px;"></td><td></td><td></td></tr> <tr><td style="height: 25px;"></td><td></td><td></td></tr> <tr><td style="height: 25px;"></td><td></td><td></td></tr> </tbody> </table> Balance After Adjustments (A+B-C)									Date	Ref #	Amount												
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